

THE ECONOMY

World leader in financial services, pharmaceuticals, and defense industries. Strong multinationals. Precision engineering and high-tech industries, including biotechnology and telecommunications. Energy sector based on declining North Sea oil and natural gas reserves. Innovative in computer software development. Flexible working practices. Long-term decline of manufacturing sector, particularly heavy industries and car manufacture, matched by rise in financial and other services. Nonparticipation

in euro threatens former status as EU's largest recipient of inward investment, and has prompted some major investors to close UK factories. High levels of government, corporate, and consumer debt: institutional vulnerability to 2007–2008 global downturn. Bank bailouts and stimulus packages pushed the government's finances further into the red.

 **INSIGHT:** *The UK has no formal written constitution, but a stable government system based on Parliament, which originated as a check on royal power in the 13th century*

